
ECONOMICS

0455/11

Paper 1 Multiple Choice

**Predicted
Moderate**

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
 - Each correct answer will score one mark.
 - Any rough working should be done on this question paper.
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This document has 12 pages. Any blank pages are indicated.

1 What best describes a free good?

- A** a good produced at no cost to the consumer
- B** a good provided free of charge by the government
- C** a good that has no opportunity cost
- D** a good that is sold at a subsidised price

2 A student can either work as a waiter earning \$80 or revise for an exam.
What is the opportunity cost of revising for the exam?

- A** \$0
- B** \$40
- C** \$80
- D** the grade awarded

3 Which combination is an example of a factor of production and its reward?

- A** capital – profit
- B** enterprise – wages
- C** labour – wages
- D** land – interest

4 What is shown by a production possibility curve (PPC)?

- A** the average cost of production
- B** the maximum output combinations that can be produced
- C** the price at which goods are sold
- D** the total demand in an economy

5 Which market structure has many buyers, many sellers and identical products?

- A** monopoly
- B** oligopoly
- C** perfect competition
- D** monopolistic competition

6 A rise in consumers' incomes causes an increase in demand for cars.
What type of good is a car?

- A** free good
- B** Giffen good
- C** inferior good
- D** normal good

7 What will cause the supply curve of wheat to shift to the right?

- A** a fall in productivity of farmers
- B** a rise in the cost of fertiliser
- C** a subsidy paid to farmers
- D** an increase in the price of wheat

8 The price elasticity of demand for a product is 0.4.
What does this indicate?

- A** demand is price elastic
- B** demand is price inelastic
- C** demand is perfectly elastic
- D** demand is unit elastic

9 Which is a cause of market failure?

- A** a competitive market with many firms
- B** a price mechanism that works efficiently
- C** the existence of negative externalities
- D** the presence of private goods only

10 What is a characteristic of a public good?

- A** it is provided only by private firms
- B** it is rival and excludable
- C** it is non-rival and non-excludable
- D** users must pay a market price

11 What is the most likely effect of an increase in the rate of income tax on household saving?

- A** saving will decrease
- B** saving will increase
- C** saving will remain unchanged
- D** saving will initially rise then fall

12 Which is a function of a commercial bank?

- A** issuing banknotes
- B** setting the bank rate
- C** accepting deposits and making loans
- D** acting as banker to the government

13 What is an advantage to a worker of being paid a wage salary rather than a piece rate?

- A** earnings rise as output rises
- B** income is predictable each month
- C** no fringe benefits need to be paid
- D** the worker bears the risk of output variation

14 Which is most likely to be a fixed cost of a bakery?

- A** cost of electricity used
- B** cost of flour purchased
- C** rent on the shop
- D** wages of part-time staff

15 What is meant by economies of scale?

- A** a fall in total cost as output rises
- B** a fall in average cost as output rises
- C** an increase in profit as output rises
- D** a rise in revenue as price rises

16 What is the main aim of expansionary monetary policy?

- A** to increase total (aggregate) demand
- B** to increase the rate of interest
- C** to raise the exchange rate
- D** to reduce the money supply

17 Which is a direct tax?

- A** excise duty on alcohol
- B** income tax
- C** sales tax
- D** value-added tax

18 What is likely to happen during a period of economic growth?

- A** real GDP falls
- B** real GDP rises
- C** prices fall
- D** unemployment rises sharply

19 Which type of unemployment results from workers lacking the skills required by new industries?

- A** cyclical unemployment
- B** frictional unemployment
- C** seasonal unemployment
- D** structural unemployment

20 What measure is most likely to reduce demand-pull inflation?

- A** a cut in income tax
- B** an increase in government spending
- C** an increase in the rate of interest
- D** a reduction in import tariffs

21 Which indicator is commonly used to measure living standards?

- A** GDP per head
- B** inflation rate
- C** total exports
- D** unemployment rate

22 What is a likely cause of absolute poverty in a developing country?

- A** high rates of economic growth
- B** low levels of education and skills
- C** low population growth
- D** strong demand for exports

23 Which is a feature of a developed economy compared with a developing economy?

- A** a large agricultural sector
- B** a low literacy rate
- C** a high GDP per head
- D** a rapid rate of population growth

24 Which is most likely to increase the birth rate in a country?

- A** a fall in infant mortality
- B** greater availability of contraceptives
- C** higher female literacy
- D** later marriage ages

- 25** Which policy is most likely to reduce poverty in a country?
- A** a cut in government spending on education
 - B** a rise in indirect taxes
 - C** an increase in progressive income tax and welfare benefits
 - D** removing minimum wage laws
- 26** What is a benefit of international specialisation?
- A** countries gain self-sufficiency in all goods
 - B** lower world output is produced
 - C** output is produced at a lower opportunity cost
 - D** unemployment rises in exporting industries
- 27** Which item is recorded on the current account of the balance of payments?
- A** borrowing from foreign banks
 - B** exports of goods
 - C** purchase of foreign shares
 - D** sale of a factory to a foreign firm
- 28** What is likely to happen when a country's currency depreciates?
- A** exports become more expensive abroad
 - B** exports become cheaper abroad
 - C** imports become cheaper
 - D** the trade balance worsens immediately

29 Which is an example of a trade barrier?

- A** free trade agreement
- B** floating exchange rate
- C** import quota
- D** open market operations

30 Why might a government impose a tariff on imported steel?

- A** to encourage imports
- B** to lower domestic prices
- C** to protect domestic steel producers
- D** to reduce government revenue

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